

IMC Unit 1

Chapter 5 and 6

IMC Unit 1

Chapter 5: Client Advice

Chapter Overview

Advising clients requires understanding their **objectives**, **circumstances** and **risk profile** before recommendations are made. This chapter covers: types of investor and regulatory protections; the financial planning process; fact-finding; risk profiling; asset allocation and fund selection; adviser communication skills (via case studies); and the objectives and constraints of UK institutional investors (pension funds, life assurance, general insurance).

Contents

1	Types and Characteristics of Investors	5
1.1	Types of Investors	5
1.1.1	FCA Classifications of Sophisticated/Wealthy Retail Investors	5
1.1.2	Restrictions on High-Risk Investment Promotion (since Feb 2023)	5
1.2	Obligations of a Firm Towards Retail Clients	6
1.2.1	The Four Consumer Duty Outcomes	6
1.2.2	Three Cross-Cutting Obligations	6
1.2.3	Vulnerable Clients	6
2	The Client's Financial Objectives	7
2.1	The Financial Planning Process	7
2.2	Investors' Needs	7
2.2.1	Other Considerations	8
2.3	Establishing and Quantifying a Client's Objectives	8
2.4	Affordability and Prioritising Objectives	8
3	The Client's Current Circumstances	8
3.1	The Fact-Find	9
3.1.1	FCA Good and Poor Fact-Find Practice	9
3.2	Letters of Authority	9
3.3	Factors Shaping a Client's Circumstances	10
4	The Client's Risk Profile	10
4.1	Different Types of Investment Risk	10
4.1.1	Other Relevant Risk Types	10
4.2	Diversification to Suit the Client's Objectives	10
4.3	Factors Affecting a Client's Risk Profile	11
4.3.1	Key Factors Affecting Risk Profile	11
4.4	The Regulator's View on Risk Profiling	11
4.5	Determining a Client's Risk Profile	12
5	Investment Recommendations	12
5.1	Asset Allocation	12
5.2	Fund Selection Process	13
5.2.1	Charges	13
5.2.2	Financial Stability of the Provider	13
5.2.3	Past Performance	14
5.2.4	Due Diligence on Trustees, Custodians and Auditors	14
5.3	Benchmarks and Reviews	14
6	Skills Required When Advising Clients: Case Studies	15
6.1	Case Study: Darren	15
6.2	Case Study: Juan	15
6.3	Case Study: Mahita	16

6.4	Case Study MCQs: Steve and Diane	16
6.5	Case Study MCQs: Anya	17
7	Institutional Investors: Objectives and Factors Affecting Investment Decisions	18
7.1	Pension Funds	18
7.1.1	Trustees and Fund Management	18
7.1.2	Automatic Enrolment – Pensions Act 2008	19
7.1.3	Pension Flexibility (from 6 April 2015)	19
7.1.4	The Decline of DB Schemes	19
7.2	Insurance Companies	20
7.2.1	Life Assurance Companies	20
7.2.2	General Insurance Companies	20
7.3	Asset Class Distributions	20
7.3.1	Pension Fund Detail	20
7.3.2	Life Assurance Detail	21
7.3.3	General Insurance Detail	21
7.4	Time Horizons, Taxation and Other Constraints on Asset Allocation	21
7.4.1	Time Horizons and Liquidity	21
7.4.2	Taxation	22
7.4.3	Regulation	22
7.4.4	Fund Objectives and Constraints	22

1 Types and Characteristics of Investors

1.1 Types of Investors

Investors fall into two broad categories: **institutional** and **individual (retail)**.

Institutional Investors

Institutional investors employ professional fund managers to manage large-scale funds, spending significant time and money on research and analysis. They may manage investments **internally** (more common for larger institutions with sufficient in-house resources) or **outsource** to external investment firms.

Examples: pension funds, insurance companies, mutual funds (unit trusts and OEICs), hedge funds, charitable trusts (e.g. the Wellcome Trust), sovereign wealth funds (e.g. the Abu Dhabi Investment Authority).

Individual (Retail) Investors

Retail investors have more limited time and resources, less investment sophistication, and more significant tax considerations than institutions.

1.1.1 FCA Classifications of Sophisticated/Wealthy Retail Investors

The FCA restricts promotion of riskier investments to investors meeting specific wealth/experience criteria:

- **Certified high-net-worth investor:** annual income $\geq$ £100,000, **or** net investable assets (excluding pensions and main residence) $\geq$ £250,000.
- **Certified sophisticated investor:** holds a certificate confirming a firm has assessed them as sufficiently knowledgeable to understand investment risk, and has signed a statement accepting significant risk of loss.
- **Self-certified sophisticated investor:** a retail investor may self-certify if **at least one** applies:
 - Member of a business angel network/syndicate for $\geq$ 6 months prior to signature date;
 - Worked in a professional capacity in private equity, or SME finance provision, in the 2 years prior;
 - Currently, or within the last 2 years, a director of a company with turnover $\geq$ £1 million.

1.1.2 Restrictions on High-Risk Investment Promotion (since Feb 2023)

Category	Includes	Who can be targeted
Restricted Mass Market Investments (RMMI)	Non-Readily Realisable Securities (NRRS) e.g. unlisted shares/bonds; peer-to-peer agreements/portfolios; qualifying cryptoassets	High-net-worth or sophisticated investors only
Non-Mass Market Investments (NMMI)	Non-Mainstream Pooled Investments (NMPI), e.g. unauthorised funds; Speculative Illiquid Securities (SIS), e.g. speculative mini-bonds	Cannot be mass-marketed; may be directed at HNW/sophisticated investors plus a suitability assessment is required

1.2 Obligations of a Firm Towards Retail Clients

Learning outcome: Explain the obligations of a firm towards retail clients, including the FCA's Consumer Duty rules.

Obligations stem from the FCA's **Principles for Businesses (PRIN)**:

- **Principle 6:** A firm must pay due regard to the interests of its customers and treat them fairly.
- **Principle 7:** A firm must pay due regard to the information needs of clients and communicate clearly, fairly and not misleadingly.
- **Principle 12 (Consumer Principle, introduced July 2023):** Firms must act to deliver good outcomes for retail customers – part of the **Consumer Duty**. This imposes a **higher** standard than Principles 6/7.

Consumer Duty – Scope

For products/services aimed at retail clients, **only Principle 12 applies** (Principles 6 and 7 are disapplied). Principles 6 and 7 continue to apply for out-of-scope products/services. Principle 6 is reinforced by **Conduct Rule 6**, requiring all individuals in a firm to deliver good outcomes for retail customers; senior managers are expected to bear primary responsibility for compliance.

1.2.1 The Four Consumer Duty Outcomes

1. **Products and services:** Firms must design products fit for purpose for the needs, characteristics and objectives of customers in the identified target market; distributors must ensure the distribution strategy is appropriate. Complying with the Product Governance Rules (**PROD**) is treated by the FCA as equivalent to meeting this outcome.
2. **Price and value:** Services must offer good outcomes on price and value (differential pricing across customers can be acceptable). Meeting COLL fair value assessment rules satisfies this for collective investment schemes, but firms must still consider the duty's broader requirements.
3. **Consumer understanding:** Customers must be given the information needed to make informed decisions.
4. **Consumer support:** Firms must design support facilities that meet customer needs and allow products to be used as reasonably envisaged.

1.2.2 Three Cross-Cutting Obligations

1. Act in good faith towards retail customers.
2. Avoid causing foreseeable harm to retail customers.
3. Enable and support retail customers to pursue their financial objectives.

1.2.3 Vulnerable Clients

Firms must take particular care with **vulnerable clients** to meet treating-customers-fairly requirements – vulnerable consumers are more susceptible to harm and generally less able to advance their own interests. The FCA (2015, *Consumer Vulnerability*) noted vulnerability can be temporary, sporadic or permanent.

Risk Factors for Vulnerability

- Physical disability; severe or long-term illness; mental health problems
- Low income and/or debt; caring responsibilities (incl. power of attorney)
- Being over 80 (correlated with physical/mental impairment)

- Being young (correlated with less experience)
- Changes in circumstance – job loss, bereavement, divorce
- Lack of English language skills
- Non-standard requirements/credit history (e.g. returning armed forces personnel)

In its **2017 mission statement**, the FCA wrote that “*understanding user needs, and recognising where some users may be vulnerable, is a key factor in the way the FCA make regulatory judgments*”.

Per FCA guidance (Feb 2021), firms should:

- understand vulnerable customers’ needs within their target market and existing base;
- ensure staff have skills to identify and respond to vulnerable customers’ needs;
- take practical action in product/service design, customer support and communications for vulnerable customers;
- monitor and evaluate outcomes for vulnerable customers on an ongoing basis.

2 The Client’s Financial Objectives

2.1 The Financial Planning Process

The financial planning process should ideally follow this sequence:

1. Establish and define the client–adviser relationship.
2. Gather client data and determine goals and expectations.
3. Analyse and evaluate the client’s financial status.
4. Develop and present the plan.
5. Implement the financial planning recommendations.
6. Monitor the financial plan and the client relationship.

2.2 Investors’ Needs

Learning outcome: Explain the main needs of retail clients and how they are prioritised.

Three main factors determine an investor’s needs and objectives:

1. Return Requirement

Calculated from the desired outcome at the end of the time horizon (e.g. accumulating £500,000 by retirement may imply a required return of, say, 7% after tax). If unachievable, the client may need to reconsider objectives. The **longer** the time horizon, the **lower** the required return needed to meet the same absolute goal; greater risk tolerance tends to permit higher achievable returns.

2. Risk Tolerance

The level of risk an investor is **willing and able** to bear. Willingness relates to investor psychology (often assessed via questionnaires). Generally, a longer investment horizon increases *ability* to take risk, though not necessarily *willingness*.

3. Time Horizon

The period until funds are needed. Longer horizons generally mean less need for liquidity and more time to recover from downturns, so more risk can typically be taken.

2.2.1 Other Considerations

1. **Liquidity** – especially important for individual investors; the need for liquidity generally increases as the investment horizon nears its end (e.g. approaching retirement).
2. **Tax** – tax efficiency is an important consideration for advisers (see Chapter 6).
3. **Religious or ethical beliefs** – may restrict the investments included in a portfolio (e.g. avoiding armaments manufacturers); socially responsible investing is covered in Unit 2, Chapter 15, Section 15.8.

Investors' needs can **conflict** (e.g. prioritising debt repayment over pension contributions may be suboptimal if the time horizon is long). Needs and circumstances change over time and should be **re-evaluated regularly**.

2.3 Establishing and Quantifying a Client's Objectives

Learning outcome: Explain the importance of establishing and quantifying a client's objectives.

Objectives should ideally be stated in **financial terms**, specifying how much is needed and when.

Table 1: Typical Client Objectives (Table 5.1)

Area	Objective
Protection	Insure home, contents or car; protect family on death/critical illness; protect income during illness; provide for long-term care
Borrowing	Obtain a mortgage or re-mortgage
Savings and investment	Plan for school/university fees; invest for growth, income or both; review an existing portfolio; save regularly to build capital
Retirement	Retirement at a specific age and on a specific income
Estate planning	Provide for or reduce inheritance tax (IHT) payable on death

Exam Tip

Worked example: In June 2024, a male aged 60 wanting a £20,000 p.a. RPI-linked pension needed a lump sum of approximately **£500,000**. Deferring retirement to age 65 reduced the required lump sum to approximately **£420,000** – illustrating how a longer time horizon both increases saving time *and* lowers the target. Annuity rates used in such calculations vary with factors such as location and health.

2.4 Affordability and Prioritising Objectives

Learning outcome: Explain the need to prioritise objectives to accommodate a client's affordability.

It is not always possible to meet all objectives – the financial planning process must agree a **priority order**. Affordability is established via a **cash flow statement** of income and expenditure (including likely future changes):

- A **surplus** indicates capital available for savings, protection funding, or debt repayment.
- A **deficit** is a cause for concern and may require a different approach to prioritisation.

3 The Client's Current Circumstances

3.1 The Fact-Find

Learning outcome: Explain the importance of the fact-find process in establishing a client's current financial circumstances and requirements.

The FCA distinguishes **fact-finding** (the process of collecting facts) from a **fact-find** (the document containing those facts). The process is often **iterative**, since current position can affect objectives.

Hard Facts

Personal information: name, address, date of birth, National Insurance number, state of health, marital status, proof of identity, residence/domicile status, employment details, sources of wealth, family details. Also financial information: income (earned, savings, pensions), investments/assets, liabilities (mortgages, credit cards), tax, and financial dependants.

Soft Facts

Gathered by asking open-ended questions and listening carefully (usually face-to-face) to understand preferences and aspirations – e.g. “*How do you feel about your current spread of investments?*” This helps gauge the client's understanding and risk profile.

3.1.1 FCA Good and Poor Fact-Find Practice

Topic	Good Practice	Poor Practice
Goals, objectives and priorities	Adviser considers future goals/aspirations (e.g. children, education) and compares current circumstances against future requirements (e.g. retirement income needed)	No/incomplete fact-find documents; inadequate records of objectives; failure to consider tax position implications
Information updated at review	KYC data extensive and updated annually/biannually (wills, attitude to risk, dependants, portfolio valuations, State Pension, cash flow, tax computations, other advisers)	File not updated for 7 years, yet advice given on original details
Attitude to risk	Firm recognises couples/individuals with multiple needs may have a <i>different</i> attitude to risk for each need	Fact-finds contained contradictory attitude-to-risk information
Existing arrangements	Firm records all existing plans and builds these into subsequent recommendations	Failure to record/update existing policy info resulted in a customer being recommended two ISAs in the same tax year

Table 2: Good and Poor Practice in Fact-Finds (Table 5.2,
Source: FCA *Assessing your customers' needs*)

3.2 Letters of Authority

Where a client cannot supply details from memory/records (e.g. exact ISA value, pension terms, mortgage terms), the adviser collects information from third parties (banks, insurers, product providers) using a **letter of authority** – the client's written consent for the third party to release information. Such enquiries can take **several weeks** to resolve.

3.3 Factors Shaping a Client's Circumstances

Learning outcome: Identify the factors shaping a client's circumstances.

Beyond income, wealth, marital status, occupation, tax status and health, an adviser should understand the client's **history and background**, since attitudes to risk and financial issues are shaped by experience. Asking about life/financial satisfaction can reveal priorities and whether the client is oriented toward **wealth creation**, **income production**, **wealth preservation**, or holds strong **ethical views** – guiding suitable investment types.

4 The Client's Risk Profile

4.1 Different Types of Investment Risk

Learning outcome: Analyse the main types of investment risk as they affect investors.

Many retail investors think one-dimensionally about **capital risk** (the risk that an investment may be worth less in future) – leading them to favour cash. This, however, increases exposure to other risks:

Core Risks of an Overly Cautious Strategy

1. **Inflation risk:** the risk that future purchasing power of capital and income is eroded by inflation. Note:

$$\text{real interest rate} = \text{nominal interest rate} - \text{CPI}$$

If a deposit rate is 3% while CPI is 10%, real growth is negative.

2. **Interest rate risk:** the Bank of England (BoE) base rate, set by the Monetary Policy Committee (MPC), changes over time and feeds through to deposit rates; typically raised during inflationary periods, though not always.
3. **Shortfall risk:** the risk that investment returns fall short of the amount required to meet objectives. Responses include reducing the target return, increasing the amount invested, or extending the time horizon.

4.1.1 Other Relevant Risk Types

- **Credit risk:** risk of loss on a debt investment due to issuer default (relevant to corporate bonds).
- **Market risk:** loss of value due to fluctuations in market prices, interest rates, or exchange rates (e.g. rising rates → falling bond prices; adverse FX moves affecting overseas holdings).
- **Operational risk:** risk of institutional failure due to poor operating procedures/systems – e.g. **Barings Bank** (poor supervisory oversight of a trader) and **Madoff Securities** (fraud).

4.2 Diversification to Suit the Client's Objectives

Learning outcome: Explain the role of diversification in mitigating risk.

No single asset class is low-risk in *all* regards: cash has low capital risk but higher shortfall risk; equities have higher capital risk but relatively low inflation/interest-rate/shortfall risk over medium-to-long horizons. **Diversification** across asset classes is central to investment management and can reduce risk at the portfolio level – but the resulting asset allocation must still suit the client's objectives and risk profile. (Further detail: Unit 2, Chapter 15, Section 15.1.)

4.3 Factors Affecting a Client's Risk Profile

Learning outcome: Analyse the factors affecting a client's risk profile.

The Three Components of Risk Profile

1. **Risk required:** the risk associated with the return needed to achieve objectives given available resources.
 2. **Risk capacity:** the client's *ability* to absorb financial losses.
 3. **Risk tolerance:** the level of risk the client is *comfortable* with.
- These three factors are **not always aligned** and can conflict; it is unusual for a client to achieve their goals from resources available within *both* their risk capacity and risk tolerance.

4.3.1 Key Factors Affecting Risk Profile

- **Timescale of investment:** a longer horizon may support a more equity-heavy, capital-risk-tolerant approach to reduce shortfall risk; the same client may need a more cautious profile for shorter-term goals. A client can have **more than one risk profile** across different objectives.
- **Amount of risk capital:** money that would not affect lifestyle if lost. HNW individuals typically have greater risk capacity.
- **Investment experience:** greater experience generally correlates with greater risk tolerance.
- **Psychology:** attitude toward volatility and potential loss varies – some find losses distressing, others are relaxed.

4.4 The Regulator's View on Risk Profiling

Regulator's View

Following a 2011 thematic review of widespread inadequacies in the UK advice process, the FCA found that in **over half** of unsatisfactory cases, unsuitability stemmed primarily from mismanaged risk tolerance and/or risk capacity. Specific criticisms included:

- Failure to properly collect/account for all information on willingness and ability to take risk (e.g. conflating risk profile, capacity for loss, term and age into a single output).
- Inappropriate emphasis on risk willingness at the expense of other needs.
- Poor questionnaire design – weak question/answer options, oversensitive scoring, inappropriate weighting.
- Over-reliance on risk-profiling and asset-allocation tools without recognising their limitations.
- Poor descriptions of risk attitudes – overly wide risk categories, or too large a gap between categories.

FCA expectations for risk profiling (2011 guidance):

- Where a customer's needs conflict with the risk they are willing/able to take, the firm should hold a detailed discussion, highlighting mismatches between objectives, circumstances, tolerance and capacity for loss.
- Where capacity for loss is insufficient for a higher-risk strategy, the firm must explain that the desired higher return cannot realistically be met.
- If, following discussion, the client is able and willing to accept greater risk, the firm should **document** this decision and its reasoning.
- Firms must carefully establish suitability whenever a client is asked to take on more risk than originally identified.

A follow-up **2017 FCA review** found that **over 90%** of advice given was suitable.

4.5 Determining a Client's Risk Profile

Learning outcome: Explain the key methods of determining a client's risk profile.

Determination begins with the **fact-find**, typically including a risk questionnaire, plus review of a client's **existing investments** (useful, but not reliable in isolation – clients may not understand risks of direct shareholdings or over-concentration).

Risk-Profiling Questionnaires

Based on **psychometric principles**, assessing willingness to take risk, investment preferences, and behavioural characteristics (e.g. tendency toward regret avoidance). Although the FCA's 2011 review found some firms over-relied on generic questionnaires, the FCA affirms they remain a valuable tool – provided they form part of a **wider discussion** of circumstances, objectives and priorities, used alongside fact-find/KYC information.

Capacity for risk reflects the client's *ability* to accept the risk level identified by the questionnaire, factoring in life circumstances now or in future. Where a capital loss would materially harm a client's standard of living, the **FCA requires this to be taken into account**. Advisers must also ensure the client genuinely understands what investment risk means, explaining interest rate, inflation and shortfall risk where appropriate.

The client's risk profile plays a major role in agreeing appropriate **asset allocation** (Section 5.1) – a critical stage given asset allocation's importance to investment performance.

5 Investment Recommendations

5.1 Asset Allocation

Learning outcome: Explain why asset allocation always comes before investment or product selection.

Asset allocation is the mix of underlying asset classes (cash, fixed income, alternatives, equities) held in a portfolio, each with distinct risk characteristics.

The Brinson Studies

Academic research has shown asset allocation to be the single most important determinant of portfolio returns – implying security selection, fund selection, and market timing matter less. A **1986 study** (Brinson, Hood & Beebower) examining 91 institutional pension funds (1974–1983) found asset allocation explained **over 90%** of the quarterly variation in portfolio returns; this was confirmed in a **1991 follow-up** study. Later studies have challenged the precise 90% figure, but the consensus remains that asset allocation is the primary performance determinant.

The main justification for asset allocation is **diversification benefit**: since asset class returns are not perfectly correlated, spreading investments reduces overall risk without reducing return. Asset allocation is shaped by the client's risk profile – more risk-tolerant clients hold more equities; more risk-averse clients hold more fixed income/cash.

Exam Tip

A traditional retail benchmark allocation is the **60:40 balanced portfolio** (60% equities / 40% bonds). The equity portion targets higher growth; the bond portion offers stability and downside protection. The equity weighting is often varied with investor age – up to **80%** for younger investors, as low as **50%** approaching retirement.

Specific investment/fund recommendations can only be made **within the context of an agreed asset allocation** suited to the client's objectives and risk profile.

5.2 Fund Selection Process

Learning outcome: Explain the key roles of fund charges, past performance, financial stability of the provider, and the stability, independence and standing of trustees, custodians and auditors within the fund selection process.

Fund selection follows asset allocation. The available fund universe depends on whether the adviser is **tiered** to a provider or **independent** (whole of market).

5.2.1 Charges

Types of Fund Charges

1. **One-off charges:** applied at point of sale and/or as exit charges (e.g. within the first five years); may include adviser fees.
 2. **Ongoing charges:** run throughout the investment's life – investment/administration costs from the provider, plus platform fees.
- **Annual Management Charge (AMC):** cost of the manager's investment services (research, portfolio management).
 - **Ongoing Charges Figure (OCF):** replaced the Total Expense Ratio (TER); paid annually; includes AMC plus other administrative service costs (register-keeping, unit pricing, asset safe-keeping). Must be shown in the **Key Investor Information Document (KIID)** for unit trusts/OEICs.
 - **Trading costs:** additional to the OCF – includes stockbroker commission and **stamp duty** (the largest single cost) on UK equities; higher for actively traded funds.
 - **Platform/stockbroker fee:** typically **0.30%–0.45%** p.a., or a flat fee (e.g. £80–£100 p.a.).
 - **Performance fees:** charged by some funds for meeting/beating a target or benchmark.

Exam Tip

Typical **ongoing charges:** actively managed funds **0.75%–1.50%**; tracker funds as low as **0.15%**. The higher the charges, the bigger the performance hurdle a fund must clear to outperform peers. **MiFID II** requires investment managers to disclose additional transaction costs separately from the OCF, and requires IFAs to report all costs to clients – revealing that total costs (especially for active funds) are often significantly higher than the OCF alone.

5.2.2 Financial Stability of the Provider

Due diligence must consider provider stability. Notable failures/warnings:

- **Woodford Equity Income Fund** (suspended and liquidated, 2019) – significant investor losses.
- **Bernie Madoff** and **Long-Term Capital Management (LTCM)** hedge fund failures.
- **Open-ended property funds:** illiquidity risk, since underlying physical property is hard to sell quickly to meet redemptions; funds have had to **suspend redemptions** at times of stress (e.g. post-Brexit referendum and start of COVID-19).

5.2.3 Past Performance

Past Performance Does Not Persist

While past performance is often used as a proxy for manager skill (the belief that “winners persist”), substantial academic/practitioner evidence contradicts this. A **Poirier and Soe (S&P Global, Feb 2017)** study, “*Fleeting Alpha*”, examined 1,034 large-cap funds existing as of 30 September 2013: only **19.73%** (204 funds) outperformed the S&P 500 in year one. In the following year, only **15.69%** of those 204 outperformed. By the end of year three, **none** of the original 204 funds had outperformed the S&P 500 consistently. This substantiates the FCA Handbook risk warning that “*past performance is not a reliable indicator of future performance*”.

5.2.4 Due Diligence on Trustees, Custodians and Auditors

Bernard L. Madoff Investment Securities LLC (BMIS)

A typical hedge fund uses independent service providers: an **investment manager**, a **broker** (execution) and a **custodian/prime broker** (asset safekeeping). At BMIS, **all functions were performed internally** – a major red flag suggesting potential for performance manipulation and asset misappropriation. BMIS’s auditor was also a small, virtually unknown accountancy firm; further investigation would have revealed it had **not conducted any audit since 1993**. BMIS collapsed in December 2008, revealed as a Ponzi scheme (existing investors paid from new investor money).

5.3 Benchmarks and Reviews

Learning outcome: Identify benchmarks and other performance measures in relation to client advice; explain the importance of reviews within the financial planning process.

Reviews should occur **at least annually** (more frequently for some clients) and serve to:

1. Check for changes to circumstances, risk profile and objectives (long-term plans especially need periodic modification).
2. Monitor investment performance against stated objectives and, ideally, a **benchmark**.
3. **Rebalance** the portfolio in line with the agreed asset allocation, correcting **portfolio drift** (the tendency for actual allocation to diverge from target as asset returns differ) – taking account of tax liabilities and transaction charges.

Choosing an Appropriate Benchmark

Performance is most meaningful when **benchmarked**, but comparisons must use a like-for-like, unbiased benchmark (e.g. avoid comparing a small-cap manager to a broad index manager). **Market indices** are the most common benchmark:

- UK equity portfolio → FTSE 100 or FTSE All Share
- US equity portfolio → S&P 500
- Mixed equity/bond portfolios → **Investment Association (IA) mixed investment benchmarks**, e.g. the *Mixed Investment 20%–60% Shares* sector for a 60:40 equity:bond portfolio.

(Market indices are covered further in Unit 2, Chapter 17.)

6 Skills Required When Advising Clients: Case Studies

Learning outcomes: Describe the need for advisers to communicate clearly, assessing and adapting to clients' differing levels of knowledge and understanding; identify and apply suitable investment solutions to suit the different needs of retail clients.

6.1 Case Study: Darren

Darren, age 60, recently retired

Facts: Received a £90,000 pension commencement lump sum (PCLS). Fact-find conducted **without his wife Carol present**. Has a £60,000 repayment mortgage (10 years remaining, affordable over next 5 years – but early repayment terms not investigated). Holds ISA savings (4 years of contributions, none this tax year), an instant access account (no immediate plans beyond a holiday), and £30,000 of manufacturing-sector shares held outside an ISA. Darren is a higher-rate taxpayer; Carol is a basic-rate taxpayer with a small pension, no investments, and unused ISA allowance.

Recommendations given: Invest £20,000 into an ISA (cautious fund); transfer £20,000 to Carol to use her ISA allowance (in **higher-risk** funds, for diversification); remainder placed into an investment bond in Darren's name (risk profile not explained).

Adviser sent a prompt, plain-language suitability report, but described Darren's risk profile as cautious while recommending some funds with more risk exposure than that profile.

Critique of the Darren Case

- Fact-find was too narrow – other objectives (e.g. provision for dependants on death) were not explored.
- Mortgage details were incomplete – early repayment possibility/penalties not investigated; early repayment could have formed part of the recommendation.
- Good practice: adviser confirmed Darren had adequate emergency cash reserves.
- **Carol was never interviewed** – her objectives and risk profile were never established, so investments recommended for her ISA may be unsuitable.
- Recommended funds for Darren did not consistently match his stated (cautious) risk profile, and the mismatch was not properly justified in the suitability report.
- The investment bond's suitability for Darren was never explained.
- Using both spouses' ISA allowances was a sensible recommendation.
- Correct to scope advice to the PCLS only, but the report should have flagged the limitations/risks of not giving full advice.

6.2 Case Study: Juan

Juan, age 45, married, basic-rate taxpayer

Facts: Inherited £300,000. Recently completed a full financial review (life insurance and pension contributions in place). Main objective: grow capital to buy a second home in Majorca within **2–3 years**. Holds £40,000 of gilts (not in an ISA), very little cash, sufficient income to cover outgoings. Regards himself as **cautious**.

Recommendation given: Invest the lump sum into a **Venture Capital Trust (VCT)**, described by the adviser as low risk and tax-advantaged; tax relief proceeds placed in a building society deposit for emergencies. No suitability report was sent (as a VCT is not a packaged product).

Critique of the Juan Case – Unsuitable Advice

- Fact-find did not investigate his partner's circumstances.
- A **VCT is high risk** – inconsistent with Juan's cautious risk profile.
- No explanation was given of **capital risk** or **liquidity risk** associated with a VCT.
- No mention that VCT tax relief is **withdrawn if disposed of within 5 years** – longer than Juan's 2–3 year time horizon.
- No mention that the maximum VCT investment qualifying for tax relief in one tax year is **£200,000** – less than the £300,000 Juan wished to invest.
- Overall: an unsuitable recommendation, inconsistent with needs and risk attitude, without adequate explanation or justification.

6.3 Case Study: Mahita**Mahita, age 35, single, higher-rate taxpayer**

Facts: Contributes to an occupational pension; £35,000 in deposit accounts (outside ISA); £20,000 in gilts (outside ISA, paying ~£700 interest every 6 months); £150,000 repayment mortgage. Primary objective: sufficient retirement income; wants tax-efficient investments. Risk-profiling software indicates **medium risk** tolerance. Monthly income surplus of ~£1,500.

Recommendations: Use some cash deposits to pay down the mortgage (retaining emergency funds); sell some gilts and invest in **regulated collective investment schemes** matching her risk profile; use her ISA allowance to shelter gilts/collective investments; direct monthly surplus income into a collective investment scheme, chosen for diversification and risk-profile fit. A suitability report was sent, clearly setting out limitations and risks.

Critique of the Mahita Case – Broadly Sound

- Advice scope was agreed with Mahita, though the adviser could have warned about limitations of advising on just one area.
- Needs, objectives, risk profile, affordability and tax status were all considered.
- Could have explored attitude to risk **across all objectives** for a consistent understanding, and explored product/fund-level risks more fully.
- Should consider whether advice remains suitable if circumstances change (income, employment, residence, health).
- Suitability report correctly issued, with limitations/risks clearly stated.

6.4 Case Study MCQs: Steve and Diane**Steve and Diane – Portfolio Review**

Holdings: UK equities/OEICs £56,000; UK corporate bonds £61,000; fixed-interest savings account £72,000; part-owned property £75,000 (none held in an ISA).

Facts: (1) Steve is a higher-rate taxpayer, Diane is basic-rate. (2) No children. (3) Both want capital growth. (4) Neither is a member of a pension scheme.

Question**Answer & Rationale**

1. Which fact is **not** a hard fact?

(c) Fact 3 – wanting capital growth is a soft fact (preference/aspiration).

2. Heavy investment in a fixed-interest savings account exposes them most to which risk?

(d) Inflation risk – fixed-interest savings are most likely to be eroded by inflation over time.

Question	Answer & Rationale
3. Which asset class would most likely achieve the highest long-term growth in a pension?	(a) Equities.
4. Which holding exposes them to credit risk?	(d) UK corporate bonds – credit risk relates to debt instruments; corporate bonds carry higher default risk than bank deposits (which are also covered by the deposit protection scheme).
5. Best recommendation to address the capital growth objective?	(d) Reduce the fixed-interest savings holding and increase equities.
6. If Steve is recommended a personal pension, what document must be provided?	(b) A suitability report – required when recommending a designated investment to a retail client.

6.5 Case Study MCQs: Anya

Anya, age 40 – Inheritance

Inherited £300,000. Member of her firm's **DB pension scheme**; no mortgage. Facts: (1) wants tax-efficient investments; (2) wants investments not eroded by inflation; (3) is a higher-rate taxpayer.

Question	Answer & Rationale
1. Which fact is a hard fact?	(c) Fact 3 (higher-rate taxpayer) – hard facts are verifiable personal/financial information.
2. Which investment best meets her tax-efficiency requirement?	(a) Personal pension scheme – tax relief on contributions, largely tax-free growth, and a tax-free lump sum.
3. Minimum VCT holding period for CGT-exempt disposal?	(a) No minimum period required for CGT relief on VCT investments.
4. Least likely to protect against inflation over 20 years?	(c) Fixed-rate deposit via ISA – cash-based investments are most exposed to inflation erosion long term, even when ISA-wrapped.

Question	Answer & Rationale
5. Which investment is exempt from income tax?	(a) UK shares held in an ISA – dividends within an ISA are exempt from income tax.
6. Max income tax relief on £100,000 invested in EIS-qualifying unlisted stock?	EIS relief = 30% of investment $\Rightarrow$ £100,000 $\times$ 0.30 = £30,000 .

Cross-Reference

Taxation treatment of VCTs is covered in Chapter 6, Section 6.1.

7 Institutional Investors: Objectives and Factors Affecting Investment Decisions

Learning outcomes: Explain the features and objectives of UK pension funds (DB and DC), life assurance and general insurance funds; explain the impact of automatic enrolment and pension freedom of choice for DC schemes; identify and contrast the risks of DB versus DC schemes for sponsor and beneficiary.

Institutions dominate UK financial markets – a large proportion of gilts and UK equities are held/-managed institutionally, giving small investors access to diversified portfolios. As of **October 2024**, pension funds and insurance companies together accounted for **slightly more than 82%** of the institutional client market (Investment Association).

7.1 Pension Funds

DB vs. DC Pension Schemes

- **Defined Benefit (DB):** sponsor agrees to pay a pre-determined percentage of final/career salary at retirement, based on years of service. **Risk sits with the sponsoring employer.**
 - **Defined Contribution (DC) / money purchase:** contributions buy investments; the investment return determines the eventual pension. **Risk sits with the scheme member.**
- Occupational schemes (employer-sponsored) may be DB or DC; **personal pensions are always DC.**

DB Benefit Calculation Example

A “1/80th scheme” member retiring with 40 years’ service and final salary £50,000 receives:

$$\text{Pension} = £50,000 \times \frac{40}{80} = £25,000 \text{ p.a. (until death)}$$

Tax treatment: contributions receive income tax relief; accumulated interest/capital gains are tax-exempt within the fund; part of proceeds can be taken as a tax-free PCLS; pension **income** is taxable.

7.1.1 Trustees and Fund Management

Actuaries estimate DB liabilities using factors such as **mortality tables**. **Trustees** are appointed to ensure effective management and determine overall investment strategy (e.g. asset class mix),

influenced by the fund's **maturity**: more mature funds (higher proportion of retired members) typically shift toward fixed income to reduce cash-flow uncertainty. A potential **conflict of interest** can arise because trustees owe a **fiduciary duty to beneficiaries**, not to the sponsoring employer, whose interests may diverge.

Since pension funds receive regular contribution inflows, fund managers can benefit from **pound cost averaging** (buying at both peaks and troughs averages the purchase price) or attempt to time purchases during low-price periods.

7.1.2 Automatic Enrolment – Pensions Act 2008

Implemented in 2012, this requires all **eligible jobholders** (age 22 to State Pension age, earnings > £10,000) to be automatically enrolled into a qualifying workplace pension (they may opt out). The government established **NEST (National Employment Savings Trust)** to ensure all employers have access to a suitable scheme.

7.1.3 Pension Flexibility (from 6 April 2015)

DC pension benefits can be accessed flexibly from age 55:

- **UFPLS (Uncrystallised Funds Pension Lump Sum)**: money drawn directly without an annuity/drawdown plan; typically **25% tax-free**; can be taken as one or more regular/irregular payments.
- **Lifetime annuity**: purchased with some/all of the fund, paying income until death; up to 25% PCLS can still be taken beforehand. This removes **longevity risk** (the risk of outliving one's investments).
- **Flexi-access drawdown**: up to 25% PCLS available when the fund enters drawdown; **no limit** (since April 2015) on amounts withdrawn thereafter; drawdown payments are taxed as income.

Investment Pathways (Feb 2021)

New FCA rules for **non-advised** drawdown clients ensure access to simple, good-value investments matching retirement income goals. On entering drawdown, clients choose from three options: an investment pathway; their own investment choices; or remaining in their existing investments. Investment pathway providers must offer **four** options based on broad objectives:

1. No plans to touch the money in the next 5 years.
2. Plan to set up a guaranteed income (annuity) within 5 years.
3. Plan to take a long-term income within 5 years.
4. Plan to take out all the money within 5 years.

A **soft price cap of 75 basis points** applies to the resulting single investment solution.

7.1.4 The Decline of DB Schemes

As of March 2022, of 5,135 private-sector DB schemes: only **10%** remained open to new members, **38%** closed to new members (but open to accrual), and **51%** closed to new benefit accrual entirely. Drivers of DB decline:

- Increasing longevity, raising scheme costs;
- Shareholder disclosure requirements revealing actuarial deficits and prompting regulatory pressure for higher employer contributions;
- Rising pension deficits, driven by both longevity and falling asset returns.

Liability Driven Investment (LDI)

LDI strategies take future liabilities as given and build an asset portfolio (bonds, swaps and other derivatives) designed to match those liabilities as closely as possible. Closed DB schemes with rising average member age find bond-based LDI strategies particularly attractive. However, an LDI strategy **locks in any existing deficit**, so some schemes adopt **partial LDI**, retaining equity exposure against a portion of liabilities to work toward closing deficits. (Further detail: Unit 2, Chapter 15, Section 15.7.)

7.2 Insurance Companies

7.2.1 Life Assurance Companies

- **Term assurance:** covers a specified period.
- **Whole of life:** covers the insured's whole life, paying a capital sum on death whenever it occurs.

Life assurance liabilities are **long term**, so life fund portfolios also tend to be long term. Unlike pension funds, life company investment returns are subject to **both CGT and income tax**, so managers actively seek to minimise tax. Premiums are paid from **post-tax income**; some “qualifying” policies have tax-free proceeds (contrast with pension income, generally paid gross but taxable).

7.2.2 General Insurance Companies

Covers specific contingencies (fire, theft, storm, etc.), usually on **annual** policies. Liabilities are **short term** (claims typically arise soon after the insured event), so companies hold reserves in **highly liquid securities**, ready to pay claims.

7.3 Asset Class Distributions

***Learning outcomes:** Distinguish between typical asset allocations for DB and DC pension funds, life assurance and general insurance funds; explain the return objectives of the major fund types; classify funds by their income/capital growth requirements.*

Both **life** and **pension** funds have long-term liabilities, so their primary objective is **capital growth**, driving significant equity exposure; both also need liquidity to pay benefits/expenses (greater for more mature pension funds), met via fixed-income holdings. **General insurance** funds have shorter liabilities, so capital growth is less important than meeting near-term income/expense needs.

Table 5: Portfolio Holdings of UK Insurance and Pension Funds, End 2023 (Table 5.3)

	Pension funds (%)	Life insurance (%)	General insurance (%)
Net short-term assets	19	11	7
Bonds (govt. & corporate)	38	45	67
Listed equities (UK & overseas)	33	29	20
Alternatives	10	15	6
Total assets	100	100	100

Source: Office for National Statistics, Pensions Policy Institute, Bank of England

7.3.1 Pension Fund Detail

UK private-sector pension funds held total net assets of **£3 trillion** at end-2023. Per the Pensions Policy Institute (PPI):

- ~**62%** of pension assets are in DB schemes, ~**35%** in DC, ~3% other. Around **70%** of DB schemes are private sector; the remaining 30% are funded public-sector schemes (e.g. the Local Government Pension Scheme). As private DB continues to decline, DC assets are set to dominate.
- ~**80%** of pension schemes are workplace schemes (DB and DC); the remaining ~20% are retail products such as SIPPs.
- **Public-sector DB** schemes: ~50% listed equity, 18% bonds, 24% alternatives, remainder cash.
- **Private-sector DB** schemes: bonds are the **largest** asset class at 55%, listed equities 11%, alternatives 14%, remainder cash (including buy-in annuities) – reflecting closed schemes' need to match liabilities via LDI/cash flow-driven investment (CDI). Open schemes, being less mature, invest more in growth assets.
- **DC** scheme assets: ~56% listed equities, 24% bonds, 3% alternatives, remainder cash.

Aggregate pension/insurance holdings show ~**33%** in listed equities (direct UK, foreign, and indirect via mutual funds) – equities being a natural match for long-horizon, wage-linked liabilities. Fixed income is ~**38%** of pension assets, important for liability/cash-flow matching. Alternative assets (including private equity, property, derivatives) provide diversification.

7.3.2 Life Assurance Detail

Long-term insurance fund assets totalled **£2,523bn** at end-2024. Like pension funds, life funds invest for the long term: **29%** in equities and a significant **45%** in fixed income, reflecting the need for cash-flow-certain assets to match annuity liabilities.

7.3.3 General Insurance Detail

General insurance net assets are much smaller: ~**£308bn** at end-2024. Given the short-term, annually-renewed nature of policies (household, motor, personal accident, etc.), general insurers hold substantial short-term/fixed-income assets. Typical business cycle: **no more than 3–5 years**.

7.4 Time Horizons, Taxation and Other Constraints on Asset Allocation

Learning outcomes: Explain the effect of time horizons, liability structure and liquidity requirements on a fund's asset allocation; explain the taxation of various UK fund types and its effect on stock selection and asset allocation; identify other legal requirements affecting pension funds, insurance funds and retail clients; identify constraints impacting the return objectives of pension and insurance funds.

7.4.1 Time Horizons and Liquidity

Pension fund liabilities may not fall due for up to **45 years** and can last 20+ years, though analysts often break this into a series of ~**5-year** horizons for practical evaluation (a tendency reinforced as conditions grow more volatile).

- **DB vs. DC liquidity:** DB liquidity needs depend heavily on the age distribution of beneficiaries – immature schemes (few retirees) have low liquidity needs, rising as the scheme matures. DC liquidity needs depend on employee turnover, withdrawal provisions, and average contributor age.
- **Life funds:** liquidity needs are similar to, but **slightly greater than**, pension funds (reflecting somewhat shorter-term liabilities), driven partly by growth in with-profits policies (which blend DB/DC-like characteristics).
- **General insurance funds:** cash flows are far more uncertain, so liquidity is a **higher priority**; time horizons are much shorter than for life companies, requiring an immediate liquidity reserve of short-term securities.

7.4.2 Taxation

- **Pension funds:** exempt from income tax and CGT, though withholding tax on overseas investments may not be recoverable. Despite exemption, funds may still prefer dividend income over capital gains, as it allows repositioning without needing to sell existing assets (avoiding transaction costs).
- **Insurance companies:** taxed on profits; the rate for life business depends on whether it is (tax-exempt) pension business, life assurance with-profits business, or annuity business. Standard corporation tax applies to life business generally, reduced to the **basic rate of income tax** for pension-related investments – giving gross pension investment a tax advantage over life-assurance-linked savings policies.

7.4.3 Regulation

General and life insurers operate within a legal framework designed to prevent inability to meet future liabilities and to minimise fraud risk:

- General insurance and long-term life assurance business are kept **separate**.
- General insurers must maintain **solvency margins** (a percentage of net assets to net premiums written). UK rules do **not** prescribe specific asset types (unlike US regulators, who favour bonds).
- Few restrictions exist on assets held for life funds.

7.4.4 Fund Objectives and Constraints

A DB pension fund's asset allocation reflects the need to **cover projected liabilities** (some short term, for current retirees; some long term, for active members) while balancing **return maximisation** against **liability matching** and the acceptable degree of risk. Portfolio constraints fall into several categories:

Categories of Fund Constraint

- **Liquidity needs:** cash/near-cash assets are required for operating expenses and unanticipated needs; short-term government bonds provide easy access to cash.
- **Time horizon:** longer time horizons allow more risk tolerance – a young pension fund (low retiree proportion) can hold more equity/property; a mature fund with shorter-duration liabilities allocates more to duration-matched fixed income.
- **Tax:** tax-exempt funds (e.g. charities, pensions) should be cautious of investments where tax is deducted at source, since reclaiming it may be impossible or delayed (a time-value-of-money cost); such funds should also avoid “tax-free” investments priced at a premium, since the tax-free feature offers no added benefit to an already gross fund.
- **Legal and regulatory:** e.g. authorised unit trusts in the UK face restrictions on permissible asset classes.

Other constraints can include **trust deed restrictions** (e.g. excluding certain asset classes or company types, such as life-science companies) and **ethical constraints**, which have become more widespread over the last decade. Pension schemes with **>£1bn AUM** must produce reports aligned with the **Task Force on Climate-related Financial Disclosures (TCFD)** recommendations, with climate risk potentially shaping investment policy. Insurance companies are subject to **solvency regulations** requiring sufficient assets to cover liabilities, which can constrain their capacity to pursue higher-risk, higher-return investments.

IMC Unit 1

Chapter 6: Taxation in the UK

Chapter Overview

This chapter covers how the UK tax system applies to individuals, companies, trusts and investments – income tax, National Insurance, capital gains tax (CGT), inheritance tax (IHT), stamp taxes, corporation tax and VAT – as well as the taxation of **direct** investments (cash, bonds, equities, property) and **indirect** investments (pensions, ISAs, collective investment schemes, life assurance, REITs, VCTs, EIS/SEIS, business property relief). Section 2 covers investment advice and tax planning, including worked case studies. All figures relate to the **2025/26 UK tax year** (6 April 2025 – 5 April 2026) unless otherwise stated.

Contents

1	The UK Tax System and the Taxation of Investments	3
1.1	Income Tax	3
1.1.1	Savings and Dividend Income	3
1.1.2	Allowances, Reliefs and Priorities	4
1.1.3	Taxation of Trusts and Beneficiaries	4
1.2	National Insurance Contributions	4
1.3	Capital Gains Tax	5
1.4	Inheritance Tax	5
1.5	Residence	6
1.6	The System of UK Tax Compliance	7
1.7	Land Taxes	7
1.8	Stamp Duty Reserve Tax and Stamp Duty	8
1.9	Corporation Tax	8
1.10	Value Added Tax	9
1.11	Taxation of Direct Investments	9
1.11.1	Savings Income	9
1.11.2	Dividend Income	9
1.11.3	Property Income	9
1.11.4	Capital Gains Tax on Direct Investments	10
1.12	Taxation of Indirect Investments	10
1.12.1	Pension Arrangements	10
1.12.2	Individual Savings Accounts (ISAs)	10
1.12.3	Onshore and Offshore Collective Investment Schemes	11
1.12.4	Onshore and Offshore Life Insurance Funds	11
1.12.5	Real Estate Investment Trusts (REITs)	12
1.12.6	Venture Capital Trusts (VCTs)	12
1.12.7	Enterprise Investment Scheme (EIS)	12
1.12.8	Business Property Relief (BPR)	13
2	Investment Advice and Tax Planning	13
2.1	Tax Planning	13
2.1.1	Inheritance Tax Planning	13
2.1.2	Income Tax Planning	14
2.2	Capital Gains Tax Planning	14
2.3	Tax Planning: Case Studies	15
2.3.1	Case Study 1: Income Tax Mitigation – Jeremy and Simone	15
2.3.2	Case Study 2: CGT Mitigation – Jenny and Peter	16
2.3.3	Case Study 3: IHT Mitigation – Daniel and Geoff	16
2.3.4	Case Study 4: Inheritance Tax MCQs – Jim and Evelyn	17
2.3.5	Case Study 5: Income Tax MCQs – David	17

1 The UK Tax System and the Taxation of Investments

1.1 Income Tax

Learning outcomes: Describe the principles of income tax applicable to earnings, savings and investment income in the UK; describe the system of allowances, reliefs and priorities for taxing income; explain the taxation of the income of trusts and beneficiaries.

Income tax is charged at basic, higher or additional rates according to total income. The tax year runs **6 April to 5 April**.

Personal Allowance

Every taxpayer has a personal allowance of **£12,570**, withdrawn at £1 for every £2 of income above **£100,000**. Someone with income of £125,140 or more has **no** personal allowance.

Worked example: Income of £110,000 $\Rightarrow$ excess of £10,000 over the £100,000 threshold $\Rightarrow$ allowance reduced by £5,000 (i.e. $£10,000 \div 2$) $\Rightarrow$ remaining personal allowance = £7,570.

Transferable allowance (“marriage allowance”): a person can transfer a fixed **£1,260** (10% of the personal allowance) to a spouse/civil partner, provided the recipient is **not** a higher- or additional-rate taxpayer. Maximum tax saving for 2025/26: **£252** ($£1,260 \times 20\%$), given as a deduction from the recipient’s tax liability.

Table 1: Income Tax Rates (excluding Scotland), 2025/26 (Table 6.1)

Band	Rate	Income range 2025/26
Starting rate for savings	0%	£0 to £5,000
Basic rate	20%	£0 to £37,700
Higher rate	40%	£37,701 to £125,140
Additional rate	45%	Over £125,140

1.1.1 Savings and Dividend Income

- **Savings income starting rate:** 0% on the first £5,000 – but only available if **non-savings** income is below personal allowance + £5,000 (i.e. £17,570 in 2025/26).
- **Personal savings allowance (PSA):** basic-rate taxpayers **£1,000**; higher-rate taxpayers **£500**; additional-rate taxpayers **£0**.
- **Dividend allowance:** **£500** (2025/26); dividend income above this is taxed at **8.75%** (basic), **33.75%** (higher) and **39.35%** (additional). Dividend income is treated as the taxpayer’s **top slice** of income, so it is taxed at the taxpayer’s highest marginal rate.

Worked Example: Personal Tax Computation (Table 6.2)

Individual with employment income £60,000, savings income £1,200, dividend income £1,700 (total £62,900):

- Less personal allowance £12,570 $\Rightarrow$ taxable income £50,330.
- Tax on non-savings income: £37,700 @ 20% = £7,540; remaining £9,730 @ 40% = £3,892.
- Tax on savings income (higher-rate taxpayer, PSA = £500): £500 @ 0% = £0; £700 @ 40% = £280.
- Tax on dividend income: £500 @ 0% = £0; £1,200 @ 33.75% = £405.
- **Total income tax liability = £12,117.**

Scotland and Wales: since 6 April 2017, the Scottish Parliament sets income tax rates/bands on non-savings, non-dividend income for Scottish taxpayers; since 6 April 2019, the same applies in

Wales (though Welsh rates for 2025/26 mirror the rest of the UK). This text uses **UK (excluding Scotland)** rates throughout.

1.1.2 Allowances, Reliefs and Priorities

Interest relief may be available on loans taken out to: buy plant/machinery for partnership or employment use; buy an interest in an unquoted employee-controlled company; invest in a partnership/co-operative; or buy shares in/lend to a close company controlled by five or fewer shareholders or solely by directors.

Pension Contribution Tax Relief

Individuals under 75 receive tax relief on registered pension contributions up to the **higher of**:

- relevant annual earnings, capped at **£60,000** (2025/26 annual allowance); or
- a basic amount of **£3,600**.

Relief is given at the taxpayer's **marginal rate** (up to 45% for additional-rate taxpayers).

Tapered annual allowance: for income above **£260,000**, the £60,000 allowance reduces by £1 for every £2 of income above £260,000, down to a minimum of **£10,000** (reached at income of £360,000+). An exception applies where *threshold income* (total income less gross personal pension contributions) is no more than £200,000.

The £3,600 basic amount applies where an individual lacks sufficient income to claim relief: maximum net payment of **£2,880** (i.e. £3,600 less 20% basic-rate relief) results in a gross £3,600 contribution. Unused allowances can be **carried forward three years** (if a pension scheme member during those years).

Gift aid: charitable donations provide tax relief at the taxpayer's marginal rate.

1.1.3 Taxation of Trusts and Beneficiaries

Where trustees can accumulate/distribute income at their discretion, trusts are taxed per Table 6.3. Trusts with gross income of no more than **£500** in a tax year are exempt (this £500 exemption is divided by the number of trusts created by the settlor, subject to a **£100 minimum**).

Table 2: Tax Rates on Accumulation/Discretionary Trust Income (Table 6.3)

Type of income	2025/26 rate
Dividend income	39.35% (dividend trust rate)
All other income (property, trading, savings)	45% (trust rate)

Income distributed to a beneficiary at trustees' discretion is treated as **already taxed at 45%**; a non-, basic- or higher-rate taxpayer beneficiary may reclaim some/all of this tax. Income within the £500 trust exemption is **still taxable** for beneficiaries.

1.2 National Insurance Contributions

Learning outcome: Describe the system of National Insurance contributions (NICs).

NICs are payments made by people in work toward entitlement to certain benefits. Employees under State Pension age (SPA) pay **Class 1** NICs above a primary contribution threshold.

Classes of NICs

- **Class 1A:** paid by employers on certain taxable benefits (e.g. company car).
- **Class 1B:** paid by employers with a PAYE settlement agreement with HMRC.
- **Class 2:** effectively abolished from 6 April 2024 (some low-profit self-employed may still choose to pay to protect benefit entitlement).

- **Class 3:** voluntary contributions to fill gaps in an NIC record.
 - **Class 4:** payable by self-employed individuals with profits above a threshold.
- 35 years** of NICs are needed to qualify for the maximum new State Pension.

1.3 Capital Gains Tax

***Learning outcome:** Describe the principles of capital gains tax (CGT) in the UK.*

CGT is paid by UK residents on the disposal of chargeable assets (shares, property, non-personal-use foreign currency, etc.).

CGT Rates, 2025/26

- **Basic-rate taxpayers:** 18% (where taxable income including gains does not exceed the basic-rate upper limit of £37,700).
- **Higher-/additional-rate taxpayers:** 24%.
- **Business asset disposal relief:** a flat 14% rate on disposal of certain qualifying business assets.
- **Annual exempt amount: £3,000** (2025/26). Only **net** chargeable gains are taxed (losses deducted from gains); excess losses can be **carried forward indefinitely**.

Exempt assets include: main home; private cars; ISAs; NS&I savings certificates; betting/lottery winnings; premium bond prizes; UK government stock (gilts) and most corporate bonds; EIS/SEIS shares (if income tax relief not withdrawn); and personal-use foreign currency (e.g. holiday money) – though currency bought/sold for gain is chargeable.

Worked Example: Susan's CGT Liability

Susan (basic-rate taxpayer) has capital gains of £18,000 and losses of £1,500 in 2025/26:

$$\text{Net gains} = £18,000 - £1,500 = £16,500; \quad \text{Taxable gain} = £16,500 - £3,000 = £13,500$$

CGT @ 18% $\Rightarrow$ **£2,430**, due 31 January 2027 (CGT is normally due 31 January following the tax year of disposal). A payment on account is required within **60 days** of a UK residential property disposal (unless exempt as a main home).

Non-UK residents pay CGT on disposals of UK land/property (including commercial property) and on assets deriving $\geq 75\%$ of value from UK land (e.g. shares in 'property-rich' companies).

1.4 Inheritance Tax

***Learning outcomes:** Describe the principles of inheritance tax (IHT) in the UK; explain the limitations of lifetime gifts and transfers at death in mitigating IHT.*

IHT is charged on an estate at death, on gifts made in the **7 years** prior to death, and on **chargeable lifetime transfers (CLTs)**.

Nil Rate Band and Residence Nil Rate Band

IHT applies where an estate exceeds the unused **nil rate band of £325,000** (2025/26), taxed at **40%** on the excess. Any **unused** nil rate band transfers to a surviving spouse/civil partner (transferred as a *percentage*, not an amount).

Residence nil rate band (RNRB): £175,000 additional allowance where a home (or share of one) passes to children/grandchildren (including step-, adopted and foster children, but **not** nieces, nephews or siblings) at death. Combined potential nil rate band: **£500,000**. The RNRB is **tapered** where the estate exceeds **£2 million**.

Key exemptions:

- Transfers to a spouse/civil partner (both UK long-term resident) – exempt regardless of estate value, for lifetime gifts and death transfers alike.
- Wedding/civil-partnership gifts up to £5,000 (amount depends on relationship); gifts to charity; first £3,000 given away each year (the **£3,000 annual exemption** can be carried forward **one year** if unused).
- Leaving $\geq 10\%$ of net estate to charity reduces the IHT rate to **36%**.

PETs and CLTs

- **Potentially Exempt Transfer (PET)**: a lifetime gift to an individual not covered by an exemption; free of IHT only if the donor survives **7 years**. **Taper relief** may apply if the donor survives at least **3 years**.
- **Chargeable Lifetime Transfer (CLT)**: most transfers into trust are immediately chargeable if they exceed the donor's available nil rate band (RNRB is death-only). The only trust transfer treated as a PET is for a **disabled beneficiary** trust. A CLT exceeding the available nil rate band (net of CLTs in the prior 7 years) attracts an immediate **20%** charge. Property can effectively be passed into trust every 7 years at the current nil rate band tax-free.
- If the donor dies within 7 years of a CLT, it is retaxed at **40%** (less a credit for the 20% already paid, and subject to taper relief for survival of 3+ years) – but **no rebate** is given if the recalculated tax is less than the 20% already paid.

Gifts with reservation of benefit: a gift with “strings attached” (e.g. gifting a house but continuing to live there without paying full market rent) remains part of the donor's estate regardless of survival period.

1.5 Residence

***Learning outcome:** Explain the implications of residence in relation to liability to income tax, CGT and IHT.*

The **statutory residence test** determines residence status each tax year, in three sequential parts:

Statutory Residence Test

Part A – Automatically non-resident if any apply:

- Visits UK for fewer than 16 days in the tax year;
- Non-UK resident for the previous 3 tax years **and** visits for fewer than 46 days;
- Works full-time overseas and visits for fewer than 91 days (no more than 30 spent working in the UK).

Part B – Automatically resident (if Part A does not apply) if any apply:

- Present in the UK for 183+ days;
- Only home is in the UK, held ≥ 91 consecutive days and lived in ≥ 30 days in the tax year;
- Carries out full-time work in the UK.

Part C – Sufficient ties test: if neither A nor B applies, further tests based on UK ties (family, work, accommodation) combined with days spent in the UK.

A UK resident is liable to income tax on **worldwide** income/gains; a non-resident only on **UK-source** income.

The Foreign Income and Gains (FIG) Regime

From **6 April 2025**, the remittance basis for non-domiciled individuals was replaced by the **FIG regime**. Available for an individual's **first 4 years** of UK tax residence following 10

consecutive years of non-residence (years of residence before 6 April 2025 count toward the 4-year maximum). Under FIG, foreign income and gains are **fully exempt** from UK tax during those first 4 years; thereafter, all UK residents are taxed on worldwide income and gains.

IHT and residence: UK assets are **always** subject to IHT regardless of residence status. From 6 April 2025, non-UK assets are subject to IHT if the individual is a **Long-Term Resident (LTR)** – UK resident for at least **10 of the previous 20** tax years. Once an LTR, IHT exposure continues for a “**tail**” **period of 3–10 tax years** after ceasing UK residence (depending on years of UK residence within the prior 20). The LTR basis **replaced** the previous domicile basis.

1.6 The System of UK Tax Compliance

***Learning outcome:** Describe the system of UK tax compliance including self-assessment, PAYE, tax returns, tax payments, tax evasion and avoidance issues.*

Most income is taxed at source via **PAYE**; additional tax uses **self-assessment**. Business records must be kept for **5 years** after 31 January following the tax year.

- **Paper return deadline:** 31 October following the tax year end.
- **Electronic return deadline:** 31 January following the tax year end.
- **Payments on account** (for the self-employed, or those paying <80% of last year’s tax at source): two equal payments on **31 January** (in the tax year) and **31 July** (following the tax year end), with a final balancing payment the following 31 January.

Tax Evasion vs. Tax Avoidance

Tax avoidance is the *legal* structuring of affairs to minimise tax. **Tax evasion** involves deliberate actions to evade tax properly due, and can lead to criminal investigation/prosecution (usually reserved for large-scale, blatant fraud). HMRC also encourages voluntary disclosure campaigns and uses targeted task forces for high-risk sectors/locations. Amounts payable following a tax offence = tax due + statutory interest + a penalty (percentage of tax due). Under **accelerated payments**, those in disputed avoidance schemes may have to pay the disputed tax upfront while the dispute is resolved.

1.7 Land Taxes

***Learning outcome:** Describe the principles of stamp duty land tax (SDLT) as applied to property purchases (buying, selling and leasing).*

SDLT is a self-assessed tax on land purchases (any estate, interest, right or power in/over land), now applicable only in **England and Northern Ireland**. Scotland uses **LBTT** (Land and Buildings Transaction Tax); Wales uses **LTT** (Land Transaction Tax) – both applied similarly to SDLT.

Table 3: Rates of SDLT (Table 6.4)

Residential – slice of price	Rate	Non-residential – slice of price	Rate
£0 to £125,000	0%	£0 to £150,000	0%
£125,001 to £250,000	2%	£150,001 to £250,000	2%
£250,001 to £925,000	5%	Over £250,000	5%
£925,001 to £1,500,000	10%		
Over £1,500,000	12%		

Tax is paid at the applicable rate on the portion of the price within each band (same principle for LBTT/LTT).

Worked Example: SDLT on a £400,000 Residential Purchase

$$(\pounds 125,000 \times 0\%) + (\pounds 125,000 \times 2\%) + (\pounds 150,000 \times 5\%) = \pounds 10,000$$

Additional charges/reliefs:

- **Additional 5% SDLT surcharge** where a new residential purchase increases the number of homes owned.
- **First-time buyer relief:** no SDLT on the first £300,000; 5% on £300,001–£500,000; relief unavailable if the price exceeds £500,000.
- **Leasehold (residential):** SDLT on the lease premium at standard rates; if the net present value (NPV) of total rent exceeds £250,000, an additional **1%** applies on the excess. Non-residential leasehold: **1%** on rent NPV between £150,001–£5m, **2%** above £5m.
- **Anti-avoidance rate:** **17%** on the entire purchase price where companies/collective investment schemes buy residential property valued over £500,000.
- **Non-UK resident surcharge:** additional **2%** on residential property purchases of £40,000+.

1.8 Stamp Duty Reserve Tax and Stamp Duty

Learning outcome: Describe the principles of stamp duty reserve tax (SDRT).

SDRT applies to **paperless** transactions when buying: shares in a UK company (except AIM/recognised growth market shares, e.g. AQSE Growth Market); shares in a foreign company with a UK share register; options to buy shares; rights from shares already owned; or an interest in shares (e.g. sale proceeds). May also apply to unit trust/OEIC purchases (but **not** when buying direct from the fund manager, or on surrender).

CREST and SDRT Rate

Most paperless SDRT-liable transactions settle electronically through **CREST**, which automatically deducts SDRT for HMRC; the stockbroker then bills the investor. **SDRT rate: flat 0.5%** (rounded to the nearest penny) of the amount **paid** for shares (not current value). E.g. shares bought for £1,000 $\Rightarrow$ £5 SDRT.

Stamp duty: applies (instead of SDRT) where the price exceeds £1,000 **and** the purchase is recorded on a **stock transfer form** (which must be stamped by HMRC). No stamp duty for purchases under £1,000.

1.9 Corporation Tax

Learning outcome: Explain how companies are taxed in the UK.

A UK-resident company is taxed on **worldwide** profits/gains in an accounting period (max 12 months); other companies are taxed on UK-generated profits only.

Corporation Tax Rates

- **Small profits rate: 19%** where profits $\leq$ £50,000.
- **Main rate: 25%** where profits $\geq$ £250,000.
- Profits between £50,000–£250,000: first £50,000 @ 19%, remainder at a **marginal rate of 26.5%** (this gradually scales the effective rate from 19% to 25%).

Trading losses can be set against income/gains of the same period and the previous year, and carried forward against future years; losses in the final 12 months of trading can be carried back **3 years** (most recent periods first). Corporation tax is self-assessed, generally due **9 months and 1**

day after the accounting period ends. **Large companies** (profits $\geq$ £1.5m) pay in **4 quarterly instalments** based on estimated liability; **very large companies** (profits $\geq$ £20m) pay even earlier instalments.

1.10 Value Added Tax

***Learning outcome:** Describe, in outline, the principles of value added tax (VAT).*

VAT is chargeable on taxable supplies of goods/services in the UK and on imports by a taxable person in business (EU trade treated the same as non-EU trade). **Registration threshold: £90,000** taxable turnover (voluntary registration possible below this).

VAT rates: 0%, 5%, or **20%** (standard). A **zero-rated** supply (e.g. children's clothes, printed books) differs from an **exempt** supply: zero-rated suppliers can reclaim input VAT; exempt suppliers cannot.

VAT and Financial Advice

Where a financial adviser **arranges the sale** of a retail investment, charges to the customer are **exempt** from VAT (whether or not the sale completes). Where the service is purely **advice/recommendation**, charges are subject to **standard-rate VAT**. VAT liability for ongoing services depends on the specific services agreed.

1.11 Taxation of Direct Investments

***Learning outcome:** Analyse the taxation of direct investments including cash and cash equivalents, fixed-interest securities, equities and property.*

1.11.1 Savings Income

Bank/building society interest, NS&I products and interest distributions (not dividend distributions) from authorised unit trusts/investment trusts/OEICs are paid **gross**. Some savings income has **20% deducted at source**, including most purchased life annuities and gilt interest where the taxpayer has elected net payment. A **non-taxpayer** can reclaim 20% tax deducted; reclaim is also possible where interest falls within the PSA or the 0% starting rate.

1.11.2 Dividend Income

Paid gross, with a **£500** dividend allowance (tax-free regardless of tax rate). Above this: 8.75% (basic), 33.75% (higher), 39.35% (additional). The PSA and dividend allowance do **not** reduce total income for tax purposes – income within the allowances still counts toward basic-/higher-rate bands. Drawing dividends instead of salary avoids NICs for director/shareholders, though current dividend tax rates and higher corporation tax reduce this advantage.

Worked Example: Laura

2025/26: employment income £18,070, dividend income £22,000.

- Employment: £12,570 covered by personal allowance; remaining £5,500 @ 20% = **£1,100**.
- Dividends: first £500 covered by dividend allowance; remaining £21,500 @ 8.75% = **£1,881**.

1.11.3 Property Income

Rental income is taxed at the owner's marginal rate; running costs (e.g. repairs) are deductible. **Loan interest relief** for a property purchase loan is restricted to the **basic rate (20%)**.

1.11.4 Capital Gains Tax on Direct Investments

Shares and property are subject to CGT on sale/gift, but gains on a **main residence** are usually exempt, as are gains on **gilts and corporate bonds**.

1.12 Taxation of Indirect Investments

Learning outcome: Analyse the key features and taxation of indirect investments including pension arrangements, ISAs, onshore/offshore life assurance policies, REITs, VCTs, EIS and business property relief.

1.12.1 Pension Arrangements

Contribution limits and marginal-rate relief mirror Section 1.1.2 (higher of relevant earnings capped at £60,000, or £3,600 basic amount; tapered for income above £260,000). Basic-rate relief is given **at source** (net contributions); higher/additional relief is given by **extending** the basic-/higher-rate bands by the gross contribution.

Pension Benefits at Retirement

- **PCLS:** tax-free lump sum of 25% of the accumulated fund, capped at the **lump sum allowance of £268,275**. Remaining fund produces taxable income at the pensioner's marginal rate.
- **DC flexibility:** access from age 55 (rising to 57 from 6 April 2028); withdrawals beyond the 25% PCLS are taxed as income in the year of drawdown.
- **Money Purchase Annual Allowance (MPAA):** once a pension is flexibly accessed, the future annual allowance drops to **£10,000** (not triggered by taking the PCLS alone, without income drawdown).
- **Death benefits:** death before age 75 – DC fund can pass tax-free to anyone (subject to the **lump sum and death benefit allowance of £1,073,100**). Death after age 75 – lump sums/income taxed on the recipient.

1.12.2 Individual Savings Accounts (ISAs)

An ISA is a tax-free **wrapper**, not an investment itself. Investor must be UK resident when investing. Since **6 April 2024**, savers can make multiple subscriptions to each ISA type per tax year.

Types of ISA

- **Cash ISA:** deposit-based, no capital uncertainty.
- **Stocks and shares ISA:** listed/AIM/SME-market shares and corporate bonds; UK gilts; FCA-authorised fund units (unit trusts/OEICs); qualifying non-UCITS retail schemes; investment trust shares/securities.
- **Innovative Finance ISA:** shields peer-to-peer (P2P) lending returns from tax.
- **Lifetime ISA:** for adults under 40; **£4,000** annual limit; government bonus of **25%**; aimed at house deposits or retirement.
- **Help to Buy ISA:** cash ISA for first-time buyers; **£2,400** annual limit; 25% government bonus (max **£3,000**); closed to new applicants since 30 November 2019 (existing accounts can continue).

Overall limit: **£20,000** (2025/26) across the four main adult ISAs (cash, stocks and shares, Innovative Finance, Lifetime), split as desired. Money withdrawn and replaced in the same year does not affect the subscription limit; **partial transfers** between ISAs have been permitted since 6 April 2024. ISA investments are exempt from **income tax and CGT**.

Junior ISAs: for under-18s born after 2 January 2011 (not eligible for a Child Trust Fund); **£9,000** annual limit (2025/26), split between cash and stocks and shares as desired; max **2** Junior ISAs (one of each type) over childhood; opened by anyone with parental responsibility or by the child from age 16; no access until age 18; income is not taxable on the funding parent (unlike the general parental gift rule). Child Trust Funds (CTFs, for children born 1 Sept 2002 – 1 Jan 2011) can be transferred into a Junior ISA; same £9,000 limit; funds belong to the child from age 18.

1.12.3 Onshore and Offshore Collective Investment Schemes

UK collective investment schemes are **exempt from tax on gains within the fund** (an advantage over life funds). Non-dividend income is taxed at **20%** (management expenses offset against income); dividend distributions are taxed like direct equity holdings. Where a fund holds **>60%** in interest-bearing securities, all income (including dividends) is deemed **savings income** (PSA available). Investors are liable to **CGT** on disposals, including switching between sub-funds of an umbrella fund. **Investment trusts** are exempt from tax on gains; non-dividend income is subject to corporation tax; shareholders are taxed as ordinary company shareholders.

Offshore Funds: Reporting vs. Non-Reporting

- **Reporting funds:** applied to HMRC for reporting status; UK investors declare **actual distributions plus reportable income** in excess of distributions. Dividends (above the allowance) taxed at dividend rates; gains on disposal subject to CGT.
- **Non-reporting (“roll-up”) funds:** accumulate income; UK investors are liable to **income tax** (not CGT) on distribution/encashment, at 20%/40%/45%.

1.12.4 Onshore and Offshore Life Insurance Funds

Proceeds of a **qualifying** life assurance policy are usually free of income tax and CGT for the original beneficiary. If surrendered/sold within **10 years** (or 75% of the policy term if shorter), higher-rate taxpayers pay **20%** and additional-rate taxpayers **25%** on the surplus.

Qualifying policy conditions: premiums payable ≥ 10 years; paid annually or more often; for policies issued on/after 6 April 2013, premiums capped at **£3,600/year** across all policies owned. A **single-premium policy cannot qualify** – any encashment gain is subject to income tax.

Life Assurance (Investment) Bonds

Single-premium policies combining guaranteed death benefits with long-term growth investment. Investors can withdraw up to **5% of the original premium per policy year**, cumulatively up to 100% (i.e. 20 years), without immediate income tax liability (unused allowance carries forward). Withdrawals beyond this may trigger income tax if the gain pushes the investor into a higher/additional band.

UK bond gains are treated as **already taxed at the 20% basic rate** (insurer pays tax on its profits) – so only those with a 40%/45% marginal rate owe further tax, at **20%/25%** respectively. On full surrender, gain = proceeds (plus prior untaxed withdrawals) – original premium. **Top-slicing relief** may reduce higher-/additional-rate liability; the PSA may also reduce/eliminate the charge.

Worked Example: Melissa’s Bond – Top-Slicing

£100,000 single premium bond; no withdrawal in year 1; £15,000 withdrawn at end of year 2.

$$\text{Gain} = £15,000 - \underbrace{(2 \times 5\% \times £100,000)}_{£10,000 \text{ allowance}} = £5,000$$

Top-sliced over 2 complete policy years: $£5,000 \div 2 = £2,500$ added to taxable income. If this

makes Melissa a higher-rate taxpayer:

$$£2,500 \times 20\% = £500 \times 2 \text{ years} = £1,000 \text{ additional tax}$$

(Charge would be $25\% \times 2 \text{ years}$ for an additional-rate taxpayer.) The PSA may reduce or eliminate this, since bond gains count as savings income.

Offshore policies (“gross roll-up”): issued from no/low-tax jurisdictions, though irrecoverable withholding tax on interest/dividends may apply – funds can still grow faster than onshore equivalents. On surrender, income tax may apply at **0%, 20%, 40% or 45%** (generally **no 20% tax credit** available, unlike onshore bonds); top-slicing relief can apply; withdrawals above 5%/year are liable to UK income tax at the taxpayer’s highest rate.

1.12.5 Real Estate Investment Trusts (REITs)

Rental income and gains are **exempt at the REIT level** but taxed at the **investor level** as dividends. REITs must distribute the majority of tax-exempt rental income (not gains) to shareholders. **20% basic-rate tax** is generally withheld from the dividend; taxed as **property income** at the investor’s marginal rate, with credit for tax withheld.

1.12.6 Venture Capital Trusts (VCTs)

VCT Tax Reliefs (max qualifying investment £200,000/year)

- **Income tax reduction:** **30%** of the amount invested – withdrawn if shares sold within **5 years** or the entity ceases to qualify.
- Dividends received are **tax-free** (any holding period).
- Capital gains on VCT share sales are **exempt from CGT** (any holding period); gains made by the VCT itself on its own investments are also tax-exempt.

1.12.7 Enterprise Investment Scheme (EIS)

Supports investment in start-up companies.

EIS Tax Reliefs

- **Income tax relief:** **30%** of the amount invested, for an individual holding $\leq 30\%$ of the company, provided shares are held **3 years** from issue (or from trade commencement, if later). Maximum qualifying investment: **£1m/year** (**£2m** if the excess is in knowledge-intensive companies). Relief can be **carried back one tax year**.
- **CGT exemption:** no CGT on shares sold after 3 years, provided initial income tax relief was given and not withdrawn.
- **CGT deferral:** defer a CGT liability by reinvesting gains in EIS shares, made within one year before or three years after the original disposal.
- **Loss relief:** losses on disposal can be set against income (same or previous tax year) or offset against chargeable gains (saving CGT at 18%/24%).

Worked Example: EIS Net Cost

£50,000 invested, less 30% income tax relief (£15,000) $\Rightarrow$ net cost **£35,000**. With CGT deferral relief at 24% on the original £50,000 gain (£12,000), the effective net cost falls to **£23,000**.

Loss relief effect: if shares become worthless, a higher-rate taxpayer’s net exposure is capped at **42p in the £1** (70p after 30% income tax relief, less 40% loss relief on that 70p), ignoring CGT deferral.

SEIS (Seed EIS): runs alongside EIS, targeting companies trading **less than 2 years** (higher risk). **50%** income tax relief on up to £200,000/year; **50%** CGT exemption on reinvested gains

(max exemption £100,000); full CGT exemption on disposal if held 3 years.

1.12.8 Business Property Relief (BPR)

Available for investments in **trading** businesses (not investment activities), including unquoted company shares (incl. AIM) and unincorporated business interests (sole trader/partnership). Once held **2 years**, BPR-qualifying shares can be **inherited free of IHT** – useful for estate planning. As AIM shares can be held within an ISA, an **AIM-focused ISA** expected to qualify for BPR can combine IHT exemption with standard ISA tax-free income/growth benefits.

2 Investment Advice and Tax Planning

Most clients seek to mitigate tax across the three main personal taxes: **IHT, income tax and CGT**.

2.1 Tax Planning

Learning outcomes: Evaluate the tax considerations shaping clients' needs and circumstances; analyse the key principles of income tax planning.

Tax planning is client-specific, informed by the fact-find (marital status, health, age, time to retirement, income/wealth) and client needs (retirement, estate planning, healthcare, dependants, etc.) – see Chapter 5.

2.1.1 Inheritance Tax Planning

IHT applies where an estate exceeds the nil rate band (**£325,000**) plus RNRB (**£175,000**) for 2025/26, taxed at **40%** on the excess.

Worked Example: John

John dies in 2025/26 with an £800,000 estate left to his **brother** (not a spouse, so no spousal exemption; RNRB unavailable as it did not pass to children/grandchildren):

$$(\pounds 800,000 - \pounds 325,000) \times 40\% = \pounds 190,000 \text{ IHT}$$

If John were a widower whose late spouse had used none of her nil rate band, John's estate would benefit from **two** nil rate bands (£650,000 total), reducing IHT to:

$$(\pounds 800,000 - \pounds 650,000) \times 40\% = \pounds 60,000$$

Main IHT mitigation strategies:

- Lifetime gifts made ≥ 7 years before death avoid IHT (though may trigger CGT at the time of gift);
- Transfers to a spouse/civil partner are IHT-exempt;
- Gifts to charity are exempt, or a reduced 36% rate applies if 10% of the chargeable estate passes to charity;
- Using the annual IHT exemption of £3,000/year;
- Gifting surplus income regularly (no financial limit on this exemption).

Clients must balance estate reduction against retaining sufficient wealth for their standard of living; the **gift with reservation** rules prevent giving away an asset while retaining benefit from it (e.g. gifting a house but living in it rent-free).

2.1.2 Income Tax Planning

Table 4: Income Tax on Savings and Dividend Income, 2025/26 (Table 6.5)

Taxable income band (net of personal allowance)	Non-dividend savings income	Dividend income (above £500 allowance)
Basic-rate: £1 to £37,700	20%	8.75%
Higher-rate: £37,701 to £125,140	40%	33.75%
Additional-rate: over £125,140	45%	39.35%

Non-taxable income: ISAs; NS&I savings certificates (not currently available) and premium bonds (no regular return).

Worked Example: Sally's Bond – Tax-Deferred Withdrawals

Sally (additional-rate taxpayer) invested £50,000 in a single premium bond (2 Jan 2018), withdrawing £200/month. Annual 5% allowance = £2,500, so withdrawals up to this need not be declared – but this is **tax-deferred**, not tax-free.

On encashment (10 Aug 2025) for £48,000, having taken £18,400 in cumulative 5% withdrawals:

$$\text{Gain} = (£48,000 + £18,400) - £50,000 = £16,400$$

As the bond is UK-based (“basic-rate tax paid”), a basic-rate taxpayer owes no further tax; Sally, an additional-rate taxpayer, owes a further **25%** – giving a potential income tax bill of **£4,100**.

Using the personal allowance within a couple:

- Transfer investment capital from a higher-rate-taxpayer spouse to a non-earning spouse to use their personal allowance and lower marginal rate.
- Ensure both spouses use their PSA/dividend allowances, even at the same marginal rate.
- Income between £100,000–£125,140 carries an effective marginal rate of **60%** (40% higher rate + 20% from personal allowance withdrawal).

Parental Gift Rule

Gifts from a parent to an unmarried child under 18 are restricted: if income generated from parentally-gifted capital exceeds **£100/year**, it is taxed as the **parent's** income. Does **not** apply to gifts from grandparents/aunts/uncles, or to capital-gains-taxed returns. The PSA often neutralises any negative impact in practice.

Other mitigation schemes: registered pension contributions (40%/45% relief for higher/additional-rate taxpayers, subject to the tapered £60,000/£10,000 annual allowance); EIS (30% relief, 3-year hold), SEIS (50% relief, higher risk), VCT (30% relief); using the £20,000 ISA allowance.

2.2 Capital Gains Tax Planning

Learning outcome: Analyse how the use of annual CGT exemptions, the realisation of losses, the timing of disposals, and sale and repurchase of similar assets can mitigate CGT.

With the annual exempt amount now reduced to **£3,000**, CGT planning has become more relevant for private individuals.

CGT Mitigation Strategies

- **Spreading ownership** between spouses/civil partners (transfers between them are CGT-free) to use multiple annual exempt amounts.
- **Phasing disposals** across tax years, e.g. late March 2026 (2025/26) and after 6 April 2026 (2026/27), to use two annual exemptions.
- **Realising losses** to offset gains that would otherwise exceed the annual exempt amount.
- **“Bed and breakfasting”** – selling and repurchasing shares to crystallise a gain/loss. The **30-day rule** requires 30 days between sale and repurchase for tax effectiveness; workarounds include repurchasing via a spouse (who buys simultaneously in the market, then transfers shares back later) or repurchasing a **similar but not identical** investment.
- **Using ISAs** to shield investments from CGT (though the reduced annual exempt amount has diminished this benefit). Note: any unused annual exempt amount **cannot** be carried forward.

2.3 Tax Planning: Case Studies

***Learning outcomes:** Calculate the most common elements of income tax, CGT and IHT, including the impact of lifetime transfers and transfers at death; select elementary tax planning recommendations in the context of investments and pensions advice.*

Table 5: Selected Tax Rates and Allowances, 2024/25 and 2025/26 (Table 6.6)

	2024/25	2025/26
Personal allowance	£12,570	£12,570
Dividend allowance	£500	£500
Personal savings allowance (basic/higher)	£1,000 / £500	£1,000 / £500
Starting rate for savings (0%)	£0–£5,000	£0–£5,000
Basic rate (20%)	£0–£37,700	£0–£37,700
Higher rate (40%)	£37,701–£125,140	£37,701–£125,140
Additional rate (45%)	£125,141+	£125,141+
Dividend rates (basic/higher/additional)	8.75% / 33.75% / 39.35%	8.75% / 33.75% / 39.35%
CGT annual exempt amount	£3,000	£3,000
CGT basic-rate / higher-rate	10% / 20%	18% / 24%
IHT nil rate band / RNRB	£325,000 / £175,000	£325,000 / £175,000
IHT rate	40%	40%
Corporation tax main rate	25%	25%
Pension annual allowance	£60,000	£60,000
ISA annual limit	£20,000	£20,000
EIS / SEIS / VCT relief rate	30% / 50% / 30%	30% / 50% / 30%

Note on CGT Rate Changes

Table 6.6 reflects that basic-rate CGT rose from 10% to 18%, and higher/additional-rate CGT from 20% to 24%, between 2024/25 and 2025/26.

2.3.1 Case Study 1: Income Tax Mitigation – Jeremy and Simone**Jeremy (married to Simone, who is unemployed)**

2025/26: gross employment earnings £65,270; savings income £1,000; dividend income £460.

Income tax computation:

- Total income £66,730; less personal allowance £12,570 $\Rightarrow$ taxable income £54,160.
- Non-savings tax: £37,700 @ 20% = £7,540; £15,000 @ 40% = £6,000.
- Savings tax (PSA £500, higher-rate taxpayer): £500 @ 0% = £0; £500 @ 40% = £200.
- Dividend tax: £460 fully covered by the £500 dividend allowance = £0.

- **Total income tax liability = £13,740.**

Tax-Planning Recommendations for Jeremy

- **Transfer savings to Simone:** she is not using her personal allowance/PSA – transferring half the savings accounts would save **£200** (£500 @ 40%).
- **Use the ISA allowance** (£20,000) to shelter savings from tax entirely.
- **Pension contribution:** a gross £15,000 personal pension contribution removes Jeremy's higher-rate liability on employment income. £3,000 relief (£15,000 @ 20%) is given at source; higher-rate relief follows via self-assessment (basic-rate band extended by the gross contribution). **Revised tax liability = £10,740** – a saving of £3,000, at a net cost of £12,000 (£15,000 less 20% relief). Funds are locked until retirement (subject to drawdown flexibility).
- **EIS/SEIS/VCT investment:** 30% (EIS/VCT) or 50% (SEIS) income tax relief – though higher risk, particularly without an existing diversified portfolio.

2.3.2 Case Study 2: CGT Mitigation – Jenny and Peter

Jenny (higher-rate taxpayer; husband Peter also higher-rate, no disposals in 2025/26)

Disposals in 2025/26:

- Painting: proceeds £36,000, cost £25,000 $\Rightarrow$ gain £11,000.
- Shares in ABC plc: proceeds £20,000, cost £25,000 $\Rightarrow$ loss (**£5,000**).
- Shares in XYZ plc: proceeds £40,000, cost £20,000 $\Rightarrow$ gain £20,000.
- Gilts: proceeds £25,000, cost £18,000 – **exempt from CGT**.

CGT computation:

Net gain = (£11,000 – £5,000 + £20,000) = £26,000; Taxable = £26,000 – £3,000 = £23,000

CGT @ 24% = **£5,520**

Tax-Planning Recommendations for Jenny

- Realise **further capital losses** on other assets standing at a loss to reduce the £26,000 net gain figure.
- **Transfer assets to Peter** before sale (e.g. the painting) to use his £3,000 annual exempt amount – saving £3,000 @ 24% = **£720**.
- **Delay a disposal** until after 5 April 2026 (2026/27 tax year) to use two annual exempt amounts.

2.3.3 Case Study 3: IHT Mitigation – Daniel and Geoff

Daniel (died 21 August 2025, no lifetime gifts)

Estate (including main residence) left to son Geoff, after exempt legacies of £70,000. Assets £950,000; liabilities £80,000. RNRB £175,000 and nil rate band £325,000 both available.

Chargeable estate = £950,000 – £80,000 – £70,000 = £800,000

IHT = (£800,000 – £175,000 – £325,000) $\times$ 40% = **£120,000**

Transferring Nil Rate Bands Between Spouses

If Daniel is instead survived by wife Jane, leaving £150,000 cash to Geoff and the remainder (incl. main residence) to Jane:

Daniel's unused NRB = £325,000 – £150,000 = £175,000 (53.8462%)

If Jane dies in August 2026, leaving an £935,000 estate (incl. £500,000 residence) to Geoff:

$$\text{Chargeable} = £935,000 - \underbrace{£500,000}_{\text{Jane's RNRB} + \text{NRB}} - \underbrace{£350,000}_{\text{Daniel's unused RNRB} + 53.8462\% \text{ of NRB}} = £85,000$$

$$\text{IHT} = £85,000 \times 40\% = \mathbf{£34,000}$$

2.3.4 Case Study 4: Inheritance Tax MCQs – Jim and Evelyn

Jim and Evelyn

Jim died July 2024, estate £1,030,000, all left to wife Evelyn. Evelyn died July 2025, estate £1,200,000 (incl. main residence £750,000), left to daughter Tricia. RNRB £175,000 and nil rate band £325,000 apply in both years.

Question	Answer
1. IHT payable on Jim's death?	£0 – spousal transfers are IHT-exempt.
2. Transferable nil rate bands claimable against Evelyn's estate?	£500,000 – Jim's full RNRB (£175,000) and nil rate band (£325,000) were unused.
3. Evelyn's chargeable estate after all available nil rate bands?	£1,200,000 – (£175,000 + £175,000 RNRBs) – £325,000 (Evelyn's NRB) – £325,000 (Jim's transferred NRB) = £200,000 .
4. Max exempt IHT gift Jim could make to an individual per tax year?	£3,000 (annual exemption).
5. Max exempt wedding gift if Tricia married before Jim's death?	£5,000 (parent-to-child wedding gift exemption).
6. If Jim gifted his main residence but paid full market rent to live there, how many years before it is IHT-free?	7 years – since a market rent is paid, this is not a gift with reservation, so ordinary PET rules apply.

2.3.5 Case Study 5: Income Tax MCQs – David

David

2025/26: gross employment income £60,270; savings income £900 (savings pot £30,000 at start of year); dividend income £350 (ABC plc shares).

Question	Answer
1. Income tax on employment income?	£60,270 – £12,570 PA = £47,700 taxable. £37,700 @ 20% = £7,540; £10,000 @ 40% = £4,000. Total = £11,540.
2. Income tax on dividend income?	£0 – fully covered by the £500 dividend allowance.
3. Net £10,000 personal pension contribution – gross amount credited to the fund?	$£10,000 \times \frac{100}{80} = \textbf{£12,500.}$
4. Tax relief on a £10,000 VCT investment?	$30\% \times £10,000 = \textbf{£3,000}$ (lost if shares not held 5 years).
5. Tax saved by transferring ABC plc shares to David's wife (unused personal allowance)?	£0 – there was no tax liability on the dividend income to begin with.
6. Tax saved by sheltering savings income in a cash ISA (higher-rate taxpayer, PSA £500)?	Only the £400 above the £500 PSA is taxable (4/9ths of £900). Sheltering 4/9ths of £30,000 = £13,333 (within the £20,000 ISA limit) saves £400 @ 40% = £160.